BUSINESS DATA MANAGEMENT

Lecture09

B2C Vs B2B Differences

Let us now try to understand the difference between B2C versus B2B. I'm sure that you would have come across these terminologies. What is B2C and what is B2B? But again, B2C refers to business to consumer. So when you say it is B2C, it is business to consumer.

And then you have B2B, which is referred to as, refers to business to business, right? So taking you back to the definition of selling. So I said that to sell, so just to write down to sell, we need a minimum of two entities, right? So this is what we had discussed. To sell, we need a minimum of two entities.

You need a seller, right? also referred to as supplier or also called as service providers, but in case of services. And the second one is you need what we refer to as buyer. The buyer is also referred to as the customer or when it is services, they're referred to as client, right? Now, what happens in B2C is in B2C, so taking you back in B2C, the seller is,

Is a business, okay? The seller is a business, so if you look at the first B here, which I'm just going to highlight, the seller is the business, and the customer or the buyer is the individual, like if it is an individual like me or you. So let's say that Ashwin, which is me, bought a phone, from let's say Amazon, we call it a B2C transaction. Why? Because Amazon is a business, right? And then, so they are the seller, assuming that that's the case.

And then Ashwin is the buyer who is an individual. This is referred to as a B2C transaction. But what happens in a B2B transaction is that in B2B, in B2B, The seller is a business firm or an organization. You can call it a firm or an organization.

The buyer or the customer, the buyer or the customer is also a business firm, is also a business firm or an organization. And this is what we refer to as a B2B, a B2B kind of organization. Which is referred to as business to business. Now, what is the example for this? Now, let's say that the transaction, so let's say when you actually place an order on Amazon, is it Amazon that is actually delivering to you?

The answer is no. There are certain suppliers of Amazon. And then what happens is Amazon is the intermediary there. And then you have the customer. Right.

Which is you. So the transaction between Amazon and the customer. Well, that is B2C. But the transaction that happens between the supplier and Amazon is B2B. The supplier, the seller is a business and Amazon is the customer.

In fact, or let's say that, for instance, you know, A retail store, a wholesaler, a wholesaler and a retailer. Now, this is what we refer to as a B2B kind of transaction. The wholesaler is a business. The retail entity is also a business.

So the transaction which is happening between these two is what we refer to as B2B. So now that we know this, before we further try to understand the difference between B2C versus B2B. Let me explain to you what these offerings are. I said that if you look at the definition of sales, just scrolling a bit up, and I said that the seller, what they do is they sell offerings to the customers and that should be done at a profit. And I said here that offerings could be a combination of products and services.

So now that we know it, let's try to understand what a product is and the difference between products versus services, correct? So what is this product? So what we know about the product is a product can be anything which is tangible, right? But for services, what happens is We need to understand that services are IHIP.

What does this mean? Services are intangible, which means you cannot touch it, sense it, smell it, and feel it. A product, for example, a tangible image. For example, this pen. Tangible.

This is a product. I can touch it, sense it, smell it, feel it. Whereas that's not the case with a service. Services are intangible. The second thing is the H refers to heterogeneous services.

There is heterogeneity. Now, what do I mean by this? Let's say that you travel and you have a very, very good experience. I took a flight, let's say, from my hometown to Chennai, and I had a very good experience. Can I be sure that the next flight that I take, will I have the same experience?

The answer is no. That is where the concept of heterogeneity comes in services, but products, more or less, we can say that they tend to be homogeneous. The third thing is what we call as inseparable. Now, the meaning of inseparable is there is simultaneous production and consumption, which means that when you take a service, you have to be present in that particular location. For example,

When we take this, when you attend these classes, right, you have to be, we produce and consume content simultaneously. You know, the teacher teaches you and you consume it at the same point. You have to be present in that particular location. If your vehicle is to be serviced, your vehicle has to be there at that particular location. So they are inseparable, right?

And finally, it is perishable, which means that it cannot be, your services cannot be inventoried. Now, what do I mean by this is, let's say that you miss your flight, which means it's gone. You cannot say that I'm going to move this to a later stage. No, your services cannot be inventoried, whereas your products can be stored. Now, why is that?

Why is it that we need to study services? Why is it that we need to study services? And we need to understand that. But before that, let me tell you as to what services mean, right? The definition of service.

So you know what a product is. I said that the products are tangible, something which has some utility, which is kind of, there's some utility associated with this. And as you go further in economics, Dr. Aditya Chandel would brief more about these products and services. But in services, there is no ownership. Of the physical elements.

In the world. There is no ownership. Of the physical elements involved. And it is an act which is performed by one entity for the use of another.

And there is no ownership. For example, I have a ticket, let's say traveling from Mumbai to Chennai. I can only utilize the service on that day for that span of time. I do not own it. So there is no ownership of these things involved.

And some of the examples for services are, it can be consultancy, it can be education, it can be banking and financial services, logistics and transport, and many others, right? So these are the examples of services. So these are referred to as pure services. So what are these pure services? Which means their job is to exclusively deliver services.

There is something called add-on services. Now what are these add-on services? So services basically can be categorized into two types. So services basically can be categorized into two types. One, two types, right?

Sorry, it's two types. One is what we call pure service. Now pure service is the example that I've given below. Like if you take example of education, consultancy, banking, pure services.

Now there is something called as add-on services. Now what are these add-on services? Where service is kind of provided on the product layer. For example, let's say you buy a phone and you know you have a service package which is kind of given. You buy a laptop and you have a service package given on the top of it.

That is what we refer to as add-on services. Now that you know what is services and the difference between a product versus service, we need to now

understand why is that we need to study services there are three key reasons as to why services are to be studied and this is for the following reason it contributes a lot it contributes a lot to the gdp right if you take any developed economy like you know france US, 80% of their GDP is because of service, right? So 80% of the GDP is because of services, whereas in India, I guess it is approximately 60% of the economy is due to service.

The second thing is a lot of employment is generated in the service sector. A lot of employment is generated in this services sector. So that is why the second reason why you need to understand it. And the third reason as to why you need to understand this is that services provide the company with what we refer to as competitive advantage.

Now, what is the meaning of competitive advantage? They give you an edge over other players in the market. So when a company, over the years, what companies have realized is that profits cannot be generated by just making products and selling them alone. Services are needed because services are a source of recurring revenue. For example, you buy a product.

And let's say that the product stops working and you kind of, you know, push it, right? But what happens with services is that when you use the service, you know, there is something called recurring revenue, which is kind of generated. And this is, services tend to be, if you look at Netflix, for example, this is more of what we call recurring revenue, which means that every month you pay, kind of pay a subscription fee. So that is how it is coming, right? Now that you know this,

I will come to the evaluation of services and later once we understand the difference between B2B and B2C because the way products are evaluated, product evaluation is easier. Why? Because you can see things around, you can touch it, feel it. The evaluation becomes easier when it comes to product. But when it comes to services, the evaluation is a little bit difficult.

And why is this evaluation difficult? Because it is IHIP. Because your services are intangible, because you cannot see a service, it makes assessment or evaluation

difficult. And when these assessments or evaluations are difficult, customers or consumers perceived risk goes up. You know, you're not very comfortable in making a decision.

You're not very comfortable in purchasing a service. So that is what it is. But we touch upon it a little later. Now that you have a bit of understanding on the difference between products and service, let's now try to understand the differences between B2B, differences between B2C versus B2B. You know, there are many differences between B2B versus B2C.

So let me kind of draw a table and let's try to understand insert table. Let's say, two columns and 11 rows, okay? While the extant literature kind of gives you close to 30 differences, if you refer to any standard textbooks, you'll see that many differences are given, but you know, for understanding purpose, there is a need to, if you know these 10 differences, it is more than sufficient, right? The first one is what we call as end custom.

So if you look at the definition of B2C, taking you back a little bit up, so if you see that, In B2C, I said that when you sell, you need two entities. And what happens in B2C is that the seller is a business and the buyer or the customer is an individual. So the end customer is nothing but an individual. So the end customer is an individual like me or you.

So this is what we refer to as B2C, right? But what happens in B2B, the end customer is a business. So I have given you the example of, the transaction that happens between a wholesaler and a retailer. The wholesaler is also a business, the retailer is also a business, and what happens is this is what we refer to as a B2B transaction.

The second difference is that the number of customers, The number of customers is very high in B2C, right? If you look at B2C, if you go to a shopping mall, let's say that the shopping mall, you know, thousands of customers come in. You go on a weekend, you see lots of customers entering the stores, making a

purchase. But what happens in B2B is that the number of customers is less and they are geographically, number of customers is less.

And they are geographically concentrated. So this is what is the case with B2B. You have a smaller number of customers. Let me give you an example for this particular point. Let's say that you go to a Nike store.

or Lifestyle or Reliance Fresh, Spencers. And you see that a lot of customers, you see a lot of customers, the volumes of the customers, the number of customers that you see are a lot, right? But that's not the case with B2B. To give you an example, all of you might know this company called Airbus, right? Airbus is a company which kind of makes planes, which is based, if I'm not wrong, in Toulouse in France.

Now Airbus, look at what I've written. The number of customers is less and geographically concentrated, right? Airbus has a few number of customers, which can be counted, right? You have got Air India, one of the customers, which is based in India. Air India, which is based in India.

In addition, you have Etihad and Emirates, which are based in UAE. UAE, you have Qatar Airways, which is based in Qatar. You have Air Canada, which is based in Canada, Air Canada, which is based in Canada. You have this United and let's say Delta, which are based in the US. So if you look at the number of customers, they are very few, fewer numbers, maybe 10 or 15, which you can just count, and they are geographically concentrated.

So this is what is the meaning of geographically concentrated. The third thing is what we call the supply chain. The supply chain is always a larger one here. In B2C, the number of customers is higher. So what happens is that the companies, so as we go to what we call week two, where we try to understand about the professional selling, you'll see that B2C, the customer base is larger.

Now, if you take an example of a city like Chennai, There are many what we call as regions that are, you know, there are many places in between as well. And,

you know, let's say this lady wants to sell water bottles. It is impossible for them to kind of distribute it individually to the customer. So they have a larger supply chain.

So there is a manufacturer, there is a distributor, there is a wholesaler, retailer and customer. So the supply chain is larger. Why? Because the number of customers is more. But what happens here in B2B, because the customers are less, the supply chain is shorter.

So what happens here in this case is that typically there is more of direct sales, direct sales in the sense the seller sells directly to the buyer, or let's say by means of an intermediary. So there is a company called Caterpillar. So they have a distributor. So Caterpillar is connected to the customer by means of the distributor. So it is the distributor that connects Caterpillar to the customer, which is what we call indirect selling.

Which means that either you have only two entities in B2B or three entities max. Whereas if you look at B2C, and as we go further, I'll give you more examples to understand why this is larger. Let's say that if Bisleri sells a water bottle for 10 rupees and you buy it for 20 bucks, does Bisleri get a profit of 10 bucks? The answer is no. Why?

Because in this chain, you know, you have distributor, wholesaler, retailer, customer, and you need them. And that is why, you know, as you go through this particular chain, the profit actually kind of varies, right? Now that we know this, the next thing is what we call purchase duration. The purchase duration, it's very easy. It is always a shorter purchase duration in B2C.

Why? Let's say that I want to buy an apparel or you want to buy a shoe, a laptop. You may decide it, let's say, in 15, 20 minutes, 30 minutes, or let's say max four, five days, right? So this is what happens. But what happens in this is that the purchase duration is longer.

When I say that the purchase duration is longer, the purchase duration varies from three months to one year. Now you might be surprised and you might say, why is this the case? And that is where I'll explain the next point. The purchase value is always lesser in B2C. Now let's say that you want to buy a shirt, 2,000 rupees.

Let's say 4,000, 5,000, right? So, you know, it is a very small amount. But what happens when you also buy in B2C, let's say a car, a home, you know, the purchase value is higher, but still, you know, the duration is shorter. What do I mean by a shorter duration is maybe in a month. In comparison to B2B, you tend to decide very fast.

But what happens in B2B is that the purchase value is very high. Purchase value is very high and it varies somewhere between millions to billions. Millions to billions of INR, which is Indian national rupees or euros, right? INR or Euros or Dollars. And for this reason, INR or euros, and for this reason, when the purchase value is higher, it is in millions to billions.

What happens is that you cannot make the decisions faster. You have to think, you take time to think, you have to evaluate the different alternatives, you have to compare across different sellers and then make a decision. And that is why the next part logically is all about how organizations actually do a purchase, right? So this is what about the purchase value. Now, some of you might ask me, why is that I've not written something called as purchase volume?

While some textbooks do give you, do mention that B2C has shorter purchase, you know, more purchase volume and B2B has less or vice versa, that's not a right yardstick for comparison, in my opinion, because let's say that you buy one plane, one volume in B2C, because buying a plane is It's millions of rupees, which is kind of incurred by the company. Even if the purchase volume is less, the purchase value could be huge, right? So it is for that reason, I do not use purchase volume as a yardstick for comparison, right? The next thing is B2C is more of what we call as transactional relationships.

Now, what is this transactional relationships? I mean, it is more that you buy from one thing and, you know, we need variety, right? I would not be buying the same brand all the time. We need variety. We kind of, you know, try different brands.

Like, you know, I tried Raymond's. I tried Color Plus. Let's say that I tried Indian Terrain. Different brands. You keep switching the brands.

It is not always the case that everybody switches. But in general, what you see is that largely in B2C, the relationships are short term, transactional in nature. Whereas what happens in B2B is the relationships are long term, which we call collaborative relationships. So B2B relationship tends to be long term in nature and they are collaborative in nature. What do I mean by collaborative is that it's like a marriage which sticks for long.

They tend to prefer one particular supplier and work with them for long. Consider them as a family and they don't function as two different entities. The boundaries between two companies are blurred and they function as one kind of company, right? What happens next is there comes a concept which is called elasticity. You might have heard a concept which is called price elasticity.

What is this elasticity? When your price goes up, what happens to the demand? Let's say that a kg of potato is 20 rupees and you do the normal buying. But let's say that as the price goes up, right, you know, it becomes 40, 50, the demand drops down. So this is what we refer to as price elasticity.

Whereas what happens in B2B is they are price inelastic, which means that even if the price goes up, the demand more or less remains stagnant. It remains the same. But I'm going to put a small star mark. But I'll put in the bracket that they are conditional in nature because these days even B2B companies want to save money. So I would say that while they are price inelastic, but one could still argue and say that, no, they are price elastic as well, because every company these days wants to save cost.

And then it comes to the next point, which we call as advertisements, and promotions. Where do we have more advertisements and promotions? The more advertisements and promotions are always in B2C. Go to a shopping mall, visit a store, everywhere you'll see that there's a credit card offer, buy two, get one free, buy one, get five free, etc.

So B2C is mainly driven by these advertisements and promotion, which acts as a stimulus. You understand what's a stimulus? It kind of, you know, makes you buy and it creates what we call as impulse buying. Impulse buying is that You may not have decided to purchase a product, but you know, you got a stimulus, a good offer, and you decided to buy.

Suddenly you make decisions, right? Whereas there is no concept of impulse buying that happens in what we call B2B. So advertisements and promotions are lower in B2B in comparison to B2C. And then comes what we call agreements and contracts. Agreements and contracts are lower in B2C.

Why? It is lower in B2C because of the purchase value. It is less if you look here. Whereas what happens here is that in the event things go wrong in B2B, there are consequences. So the agreements and contracts are always higher.

OK, I bring you to the next point, which is who is the decision maker? Who is the decision maker, right? So the decision maker in B2C, let's say that Ashwin, which is me, I want to buy a watch, right? So the decision maker is an individual. And because we live in India, a collectivistic culture, so it could be our friends, our family, our parents, our friends or family, we may consider them as well.

Whereas if you look in a country like France, where I am there, so what happens here is, you know, it could be the individual makes the decision. Whereas what happens here, is that if you look at this particular table, the purchase value is very, very high. The purchase duration is longer. It varies from three months to one year.

So what happens? The decision is made by something called as DMU, which is referred to as decision-making unit. It is also called as a buying center. So as we go next, I shall give you the video link. I shall explain to you what this buying center is.

It is also referred to as buying and usage center. And this typically has five to 15 people who play different roles, which I shall explain next. So what happens in a B2B kind of setting is that one person doesn't make the decision. Why? In the event, the purchase value is in billions.

And in the event things go wrong, what could happen is there could be severe consequences. And it is for this reason The decision-making unit comprises people belonging to different domains. You have people from finance, you have people from quality, HR, operations, engineering, everybody. And they are a part of what we call the decision-making unit, right?

And then finally, one final term before we close this is something called jilting impact. I will say that the jilting impact is lower here and the jilting impact is higher here. What do I mean by jilting? Now, taking you to the very second difference between B2C versus B2B, right? Always we know that in B2C, the number of customers is high.

You have many customers, right? I gave you the example of Reliance Brush, you know, lifestyle. Whenever you go, you see a lot more customers. Whereas I gave you the example of Airbus, which has only a few customers. Now, let's say that I, on a weekend, walk into an apparel store.

I go to, let's say, Adidas. I try a pair of shoes. I'm interested. But then later I change my mind. I decide not to buy it.

Do you think Adidas would be impacted? The answer is no. Why? Because if it is not Ashwin, my friend Aditya would buy it, or else somebody else would buy it. You have many, many number of customers.

But what happens in B2B? Is that you have a lesser number of customers, very, very few, which you can compute, which I was showing you here, right? You have advanced discussion with your sellers. You give them all the signs, say that, yes, you know, we want to buy from you. And at the end of the day, you change your mind.

In such cases, B2B companies get impacted. So the jilting impact is the shock that they get when something is canceled after advanced negotiations. This is what we refer to as jilting effect. I hope this video clarifies the difference between products versus services, as well as B2C versus B2B. To just summarize, offerings are products and services.

While your product is tangible, which means you can touch it, sense it, smell it, feel it, that is not the case with service. Services are intangible in nature because they are, you know, you cannot sense it, see it, smell it, feel it. So they are intangible. Now, because the services are intangible in nature, the customers perceive risk. The risk that is being perceived when they're associated with purchase of services is always higher.

The customers always feel uncomfortable about the pricing of services. They have doubts regarding the quality of service because the product, I can touch it, I can feel it, I can determine what the quality is, but that's not the case with service. So there is some doubt in their minds. How this doubt can be reduced, how this risk can be brought down, we'll discuss further. which makes them very, very uncomfortable.

They are heterogeneous. No two services can be the same. Let's say that you liked my first video. It does not mean the first lecture, first video. There's no guarantee that you might like the second lecture that I did.

You might like one topic that I taught. There's no guarantee that you might like the second topic that I taught. You might go to a restaurant, like a dish, which is a pizza was being baked. You had it. The next time that you go, maybe it may not be the same.

That is what we call as heterogeneity. Let's say you walk into a restaurant on a weekend. Your experience is not going to be the same as that of a weekday. Is it deliberately done? The answer is no.

But, you know, it may be undercooked. You know, the experience may not be exactly the same as you had on a weekday. The third thing is inseparable, which means there is simultaneous production and consumption. When you take a service, you have to be in that location. If I have to get my tooth fixed, there's a filling to be done.

I have to be in that particular location. And finally, it is perishable, which means your services cannot be inventory. So if you miss something, that's it. It's gone. Whereas products can be stored.

And then coming to the difference between B2C versus B2B. In B2C, the end customer is an individual. So let's say that if a company is selling a product, how does one understand whether it's a B2C or B2B? Just see who the end customer is. If the end customer is a person like me or you, we call it as a B2C transaction.

But let's say that the end customer is a business, then we call it a B2B transaction. The most important thing is that the purchase value in B2B is very, very high. We do not use volume as a yardstick for comparison only because even one product could have very, very high value. And that is the only reason I do not use volume as a yardstick for comparison. And the jilting impact is always higher in B2B because in the event,

The customers, after advanced negotiation, discuss or change their mind; B2B companies get impacted because the number of customers is less. I hope this video has clarified and provided you with a better understanding. And in the next video, we will focus more on organizational buying behavior. So thank you for this. And I look forward to meeting you in the next video.